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Global Agricultural Information Network

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Egypt Subsidy Reforms Impact Agriculture and Food

Report Categories:

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Grain and Feed

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Report Highlights:

This report details the fuel and food subsidy reforms in Egypt. Changes in the food subsidy system, both in regards to the ration card and bread subsidy, will impact both consumption and trade patterns.

General Information:

Energy and food subsidies have been a significant part of the Egyptian government's budget, constituting around 7% of total GDP. In 2013/14, energy subsidies amounted to 143 billion LE, while food subsidies accounted for 31 billion LE of the government budget (Note: the exchange rate on August 10, 2014 is 7.15 Egyptian pounds [LE] to \$1).

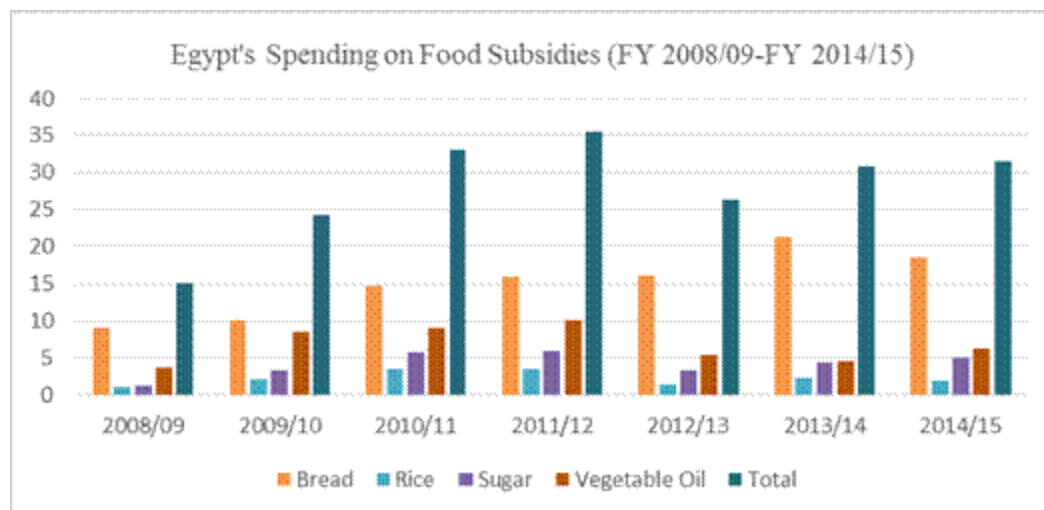
In July 2014, the government of Egypt announced major changes to the subsidy program. Regarding energy subsidies, prices for three widely-used subsidized fuels were raised by up to 78 percent, while diesel prices increased by 64 percent. The government outlined a plan to raise electricity prices over the next five years.

As a result of the fuel hikes, inflation is expected to accelerate. The impact of the price increases will be much higher for energy-intensive industries such as ceramics, cement, and steel. Agricultural costs are expected to rise, especially for irrigation, machinery, packing houses, and transporting goods to market. Secondary impacts, such as food price inflation, are of particular concern.

Since implementing the increase in fuel prices, the Egyptian Government has intensified its efforts to stabilize the price of food products in the market in order to reduce the transmission of inflation. The Ministry of Defense, Ministry of Youth, and Ministry of Agriculture have all taken efforts to supply more food products at discounted prices through their various outlets. In addition, large retailers such as Carrefour have agreed to fix prices of 30 select products until 2015.

However, the most comprehensive work on addressing food prices and availability of subsidized goods is through the Ministry of Supply and Internal Trade (MOSIT). Concurrent with the energy subsidy reforms, MOSIT has announced changes to the food subsidy system. The ministry is seeking to better target the poor and reduce waste and leakage in the food subsidy system. While accounting for a much smaller portion of the budget than energy subsidies, the food subsidies have grown in recent years as well. Current spending is double the amount allocated in 2008/09, as shown in the figure below.

Figure (1) Government spending on food subsidies in billion LE since 2008/09



This report details the changes that are being made in the food subsidy system, both in regards to the ration card and bread subsidy, and the potential impact on consumption and trade.

Ration card subsidy changes

There are 18 million households with ration cards for subsidized goods, benefiting 69 million people nationwide. The previous system for the ration card system allowed these families to purchase limited quantities of rice, sugar, and vegetable oil at subsidized prices. A maximum amount was set per person in the household. For instance, in a four-person family, each person could purchase 2 kg of sugar, 2 kg of rice, and 1.5 kg oil per person. Ration card holders paid per item at the subsidized rate, which was 70-80% below the market price. The recipients paid directly for the items at designated outlets.

The new system includes several changes to the operation of the system and availability and pricing of items. First of all, the government is encouraging those who no longer need their subsidy to turn in their cards in a “Return Your Card” initiative, anticipating that as many as two million people may do so. There are no longer monthly quotas on specific products. Ration card holders now have the freedom to buy according to family needs. Card holders can choose how to allocate their resources from among rice, sugar, vegetable oil, or from an additional 20 other items at varying levels of quality and sizes. Notable among the new items are frozen meat and poultry.

Ration card holders now receive a direct monetary transfer from the government to cover the cost of subsidized goods. Households receive on the ration card 15 LE (\$2.10) per person per month, with an additional 7 LE (\$1.00) during the month of Ramadan. For each item, the price of the good is deducted from the card, while the recipient pays a designated amount of profit to the grocer. Additionally, when each household purchases goods each month, they must pay a standard fee of 1 LE. The table below highlights the new subsidized items, amount deducted from the card per item, and the amount that must be paid to the grocer by the card holder.

Table (1) Products under the New Subsidy Distribution System

Product	Quantity	Price using the card (LE)	Grocer's Profit (LE)
Imported packed sugar	1 kilo	4.25	0.25
Sweetened packed sugar	1 kilo	4.90	0.25
Packed rice	1 kilo	3.75	0.25
Processed Ghee	800 grams	6.00	0.50
Packed pasta	350 grams	1.35	0.15
Crushed Lentil	500 grams	3.35	0.25
Sunflower Oil	920 grams	9.75	0.25
Blended Oil	800 grams	6.50	0.25
Blended Oil	1 liter	8.45	0.45
Net (pure) Blended Oil	1 liter	7.60	0.40
Packed bean	1 kilo	4.60	0.40
Packed flour	1 kilo	3.75	0.25
Tea	100 grams	1.25	0.25
Tea	40 grams	1.33	0.17
Tomato Paste	320 grams	2.80	0.20
Frozen meat	1 kilo	29.00	1.00
Frozen poultry	1 kilo	14.25	0.75
Half Dried Dates	1 kilo	11.00	1.00
Washing powder (Auto)	1 kilo	6.90	0.35
Washing powder (Manual)	1 kilo	5.15	0.27

Prices for commodities in the new system are much closer to free market prices than the previous system, as noted for select commodities in the table below.

Table (2) Subsidized v. Market Prices

Item	Old Subsidy System (LE/KG)	New Subsidy System (LE/KG)	Market Price (LE/KG)
Rice	1.50	3.75	4-6
Sugar	1.25	4.25- 4.90	4-6
Vegetable Oil	3.50	7.60-9.75	10-18
Pasta	N/A	3.85	7-9
Flour	N/A	3.75	5-6
Frozen poultry	N/A	14.25	18-22
Frozen beef	N/A	29.00	60-65

Anticipated impact of new ration card system:

There are several challenges that MOSIT still faces to successfully implement the new system. There are still 600,000 families using the old paper ration cards and which need to convert to smart

cards. Some families have not yet received the monetary transfer to their cards. Not all of the facilities are equipped with the storage capacity, much less cold storage, for the twenty new items. At times the items are not fully stocked. Despite the efforts to ensure this new system has better quality items, some people are still commenting on poor quality.

Perhaps the largest challenge has been communication. Whereas before people paid for the subsidy items, now they only pay the grocer's profit, with the remainder deducted from the cards. The administration of the system is still not clear to many users. Moreover, some beneficiaries are having a difficult time understanding the sudden increase in the price of subsidized goods, from one-third to now more than two-thirds of the market price.

The old system allowed consumers to purchase set quantities of rice, sugar, and vegetable oil. Under the new system, there is a wider range of items available for the consumers. The expected consumption patterns are still not clear. For instance, some families may opt for other newly-offered grain products such as pasta or flour, rather than rice. It is also possible that sugar consumption could decline. Over the past year, the only vegetable oil provided through the subsidy system was a 50/50 sunflower/soybean oil blend. Consumers will now select their preferred blend from the choices available.

Local industry has begun to respond to the new system. For example, local sugar prices are higher than imported sugar, so the industry has begun lobbying to make the subsidized price of local sugar more competitive.

Subsidized Balady Bread:

In addition to the changes in the subsidy card items, there are new systems being implemented for bread. Losses and leakage for the subsidized bread are estimated at 25%. In the past, any consumer in Egypt could purchase subsidized balady bread at unlimited quantities. Recently, individuals have been required to show their ration card in order to get the subsidized rate of 0.05 LE (\$0.01). Otherwise, those not eligible for the subsidy have to pay close to the market rate at 0.35 LE (\$0.05) per loaf.

Since April, a new system has been piloted in Port Said, Ismailia, Suez Governorates, 21 suburbs in Cairo Governorate and 2 suburbs in Alexandria. Under the new system, each household has a card that enables them to buy up to five loaves per person per day. If a consumer purchases any loaves above that amount, he or she is required to pay the market rate. On the other hand, if an individual did not consume the full amount each month, then he or she would be rewarded with 0.10 LE per loaf not purchased. This amount would be applied to the ration card to allow individuals to purchase any of the twenty subsidized commodities listed above.

In addition, the government is undertaking efforts to improve storage capacity and quality, which could also reduce losses.

The United Arab Emirates offered to fund a project in Egypt's strategic wheat sector by construction of 25 wheat silos to increase Egypt's storage capacity by 1.5 MMT.

This is in the context of a mega project to build 100 silos in the coming five years to increase Egypt's storage capacity of grains from 4MMT to 8MMT. U.S., Chinese, and French companies are also negotiating with the Ministry of Supply and Ministry of Investment to build silos and logistic hubs for commodity transfer and handling. Egypt maintains six months of strategic reserves of wheat.

Anticipated Impact of the New Subsidized Balady Bread Program:

In the Governorate of Port Said, this new model has been successful in reducing consumption by 30%, saving 30,000 loaves of bread per day. People are beginning to purchase what they need, rather than the additional quantities that would go to waste.

The government believes that this new system will reduce per capita bread consumption. The proposed budget reduces the expected volume of wheat purchases for the bread system from 8.7 million tons down 10 percent to 7.8 million tons.

Table (3) Egyptian Government Budget

Commodities	Proposed Budget for 2014/15		2013/2014 Budget	
	Value (in billion LE)	Volume (000 MT)	Value (in billion LE)	Volume (000 MT)
1- Bread Subsidy				
Imported Wheat	9.104	4,315	11.814	5,000
Local Wheat	7.676	3,500	7.212	3,700
Corn	0	0	420	250
Flour through tenders	1.767	1,000	1.877	1,000
Total bread subsidies	18.55		21.32	
2- Vegetable Oils	6.221	1,150	4,641	728
3- Sugar	5,156	1,474	4,467	1,456
4- Rice	2,081	1,300	2,363	1,312
Total basic foodstuffs	13.46		11.47	
Total	31.56		30.83	

Source: Egyptian Ministry of Finance

Egypt is the world's largest importer of wheat. Reductions in consumption could affect the trade volumes, contingent on domestic procurement volumes. The domestic purchases depend on the total harvest and the price that the government offers to the farmers. The proposed budget suggests higher prices for local wheat purchases.

Conclusion:

The new Egyptian government has made rapid reforms to the energy and food subsidy systems. The administration of the new food subsidy system offers a wider variety of goods to beneficiaries at prices much closer to market prices. Households are now able to determine their own preferred

basket of goods, rather than just sugar, oil, and rice.

The coming months will be critical for understanding consumer preferences and the actual market demand for various commodities. If successful, the government's attempts to reduce waste in the bread subsidy system may lead to a slower rate of annual growth in wheat consumption. The impact of the food subsidy reform will depend on the extent of the implementation.